

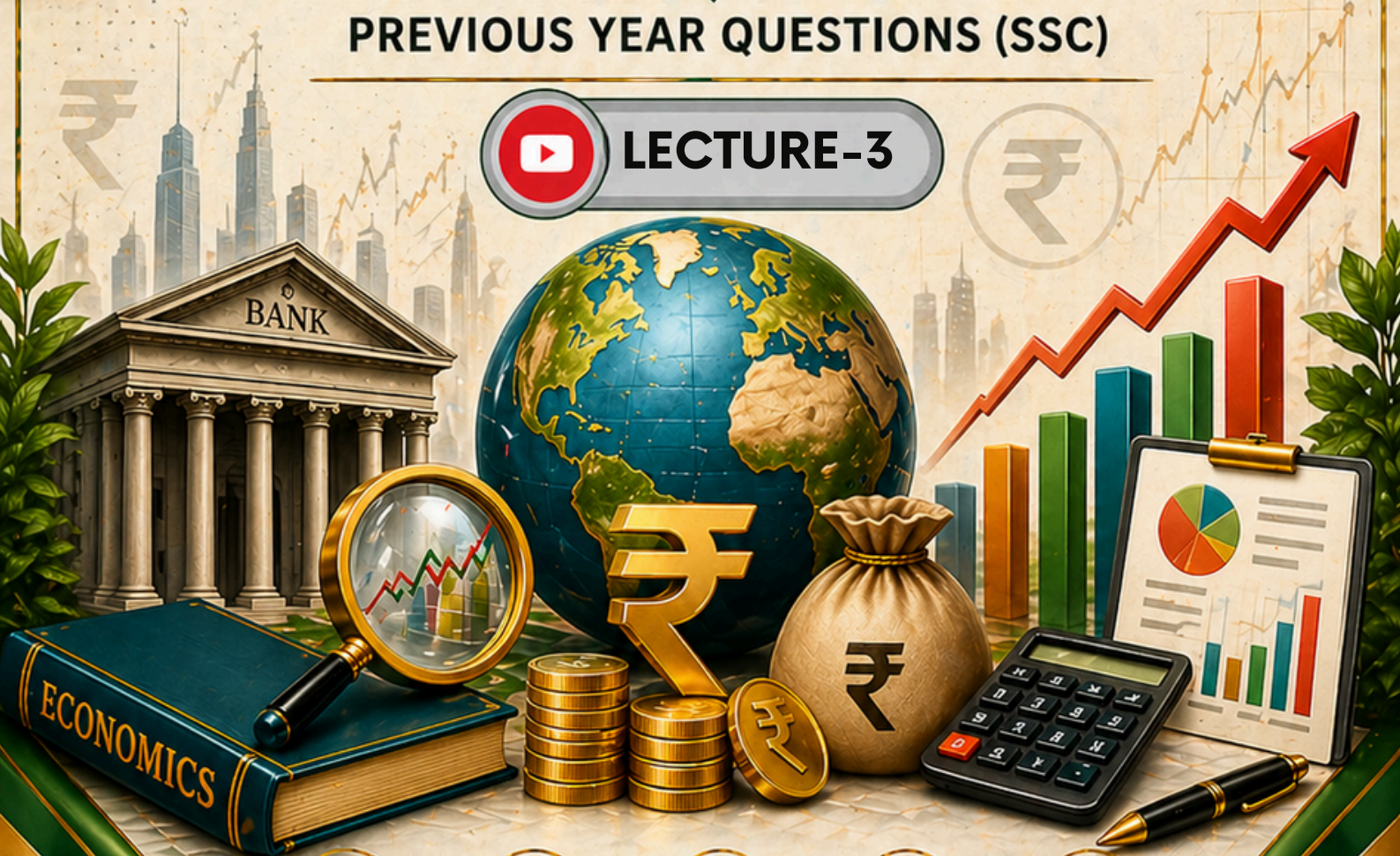
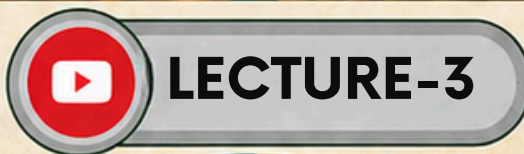


== **GK PYQ SERIES** ==

[PART-6]

ECONOMICS

PREVIOUS YEAR QUESTIONS (SSC)



PYQ BASED
ANALYSIS



CONCEPTUAL
CLARITY



SMART
REVISION



EXAM
FOCUSED



TREND
ANALYSIS

★ **CONCEPT + PYQ BASED LEARNING** ★

1 The Union Budget is presented for which period?

(a) Calendar year

(b) Fiscal year from Jan to Dec

(c) Financial year from April to March ✓

(d) Financial year from July to June

EXPLANATION

Paper Taxes:

- Taxes from which the government generates negligible revenue (earnings); i.e., they are limited only to rules or 'papers'.
- Other names:** Nominal tax or symbolic tax.
- Examples:** Wealth tax, gift tax, and estate duty (these have now been abolished in India).



It is an approximation of revenue and expenses over a specified period of time.

यह एक निर्दिष्ट समय अवधि में राजस्व और व्यय का एक अनुमान है।



Article 112 of the Constitution of India requires the government to present an Annual Financial Statement (a statement of Receipt and Expenditure) to the Parliament.

भारत का संविधान, अनुच्छेद 112, सरकार को संसद के समक्ष एक वार्षिक वित्तीय विवरण (प्राप्ति और व्यय का विवरण) प्रस्तुत करने का आदेश देता है।



The President of India is responsible for presenting the Annual Financial Statement to both houses of Parliament.

भारत के राष्ट्रपति संसद के दोनों सदनों के समक्ष वार्षिक वित्तीय विवरण प्रस्तुत करने के लिए जिम्मेदार हैं।



Prepared by: Department of Economic Affairs (Ministry of Finance)

तैयार: आर्थिक कार्य विभाग (वित्त मंत्रालय)



- GST** was implemented in India on **July 1, 2017**. It was brought by the 101st Amendment of the Constitution and its provision is in Article **279A**. The Chairman of the GST Council is the **Union Finance Minister**.

Budget Presenter: Finance Minister

- The **first budget** was presented by **R. K. Shanmukham Chetty**, and the **second budget** was presented by **John Mathai**.
- Finance Minister presenting the budget the most number of times
 - Morarji Desai** - 10 times, 6 times in a row.
 - P. Chidambaram** - 9 times
 - Pranab Mukherjee** - 8 times
 - Nirmala Sitharaman** among those presenting the budget the most number of times - 9 times.
 - Achievement:** Record of presenting the budget for the most consecutive times.

- Gender Sensitive Budget** presents in 2005-06.
- Indira Gandhi** was the first female Finance Minister (acting) of India.



Three main functions of the budget

Function	Description	Example
Allocation	Allocation of resources	Education, health, infrastructure
Redistribution	Redistribution of income	Subsidies, social schemes
Stabilization	Economic stability	Inflation control, employment stability

2 As of February 2025, Scheduled Tribe (ST) individuals comprising ____ of the total population in India.

(a) 8.6% ✓

(b) 5.5%

(c) 9.8%

(d) 12.2%

EXPLANATION



- The top 3 tribes in India based on the highest tribal population are:
 - (1) Bhil, (2) Gond, and (3) Santhal.



India Census 2011: Category-wise Population (SC & ST)

Scheduled Caste (SC)

- Total Population:** Approximately 20.14 Crore
- Percentage:** 16.6% of India's total population
- State/UT with the highest SC population: **Uttar Pradesh**
- State with the highest SC population percentage: **Punjab** (31.9%)
- State with the lowest SC population percentage: **Nagaland**

Category-wise Population Census of India 2011

Scheduled Caste

States & Union territory With Highest SC Population

■ Uttar Pradesh

States & Union territory With Highest % of SC Population

■ Punjab : 31.9%

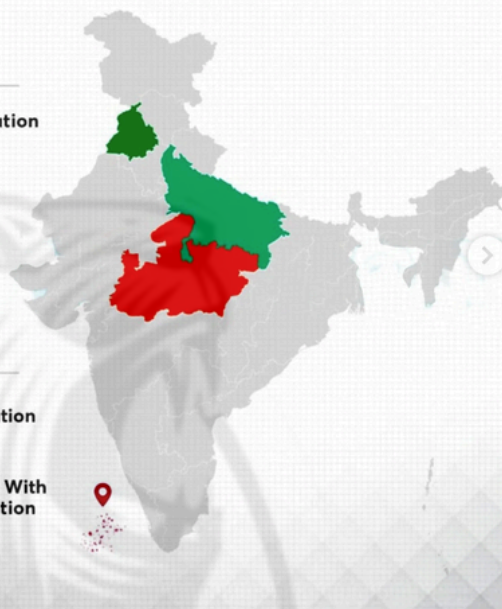
Scheduled Tribe

States & Union territory With Highest ST Population

■ Madhya Pradesh

States & Union territory With Highest % of ST Population

■ Lakshadweep : 94.8%



Scheduled Tribe (ST)

- Total Population:** Approximately 10.43 Crore
- Percentage:** 8.6% of India's total population
- State/UT with the highest ST population: **Madhya Pradesh**
- Union Territory with the highest ST population percentage: **Lakshadweep** (94.8%)
- State with the highest ST population percentage: **Mizoram**
- State with the lowest ST population percentage: **Punjab**

3

Assertion (A): India had to approach the IMF and World Bank in 1991 for a bailout loan

Reason (R): Foreign exchange reserves had declined to the point that they could barely finance two weeks of imports

- a) Both A and R are true and R is the correct explanation of A. ✓
- b) Both A and R are true but R is not the correct explanation of A.
- c) A is true but R is false.
- d) A is false but R is true. Exam Date: Correct Ans: A

EXPLANATION

- The **International Bank for Reconstruction and Development (World Bank) + International Monetary Fund** are called the "Bretton Woods Twins" because both institutions were established in 1944 at the Bretton Woods Conference in America. And the objective of both is to promote global economic stability and development.
- Reforms (1991):** At that time **P.V. Narasimha Rao** was the **PM** and **Manmohan Singh** was the Finance Minister. Structural changes were made in the fiscal, trade, and industrial framework.
- 4 Reforms of 1991:** -
 - Fiscal:** Export subsidies were abolished, and others were reduced.
 - Trade:** The rupee was devalued to make exports competitive.
 - Industry:** Control over licensing and the 'Inspector Raj'.

2



- Public Sector Undertakings (PSUs): The public sector was given more operational freedom to expand itself.

The rupee was devalued twice (18%) in 1991.

- Devaluation:** Decreasing the value of currency by the government (policy measure).
- Depreciation:** Automatic fall in the value of currency due to market forces.
- Appreciation:** The value of currency automatically increases due to market forces.
- Revaluation:** The value of currency is increased by the government/central bank as a policy measure.

4 Which of the following refers to the extent to which demand for a particular commodity decreases because others are also consuming the same commodity?

- a) Snob effect ✓
- b) Demonstration effect
- c) Bandwagon effect
- d) Veblen effect

EXPLANATION

Feature	Bandwagon / Demonstration Effect	Snob Effect
Basic Meaning	Copying or imitating others (herd mentality).	The desire to look different, unique, and 'prestigious' from others.
Effect on Demand	This increases the demand for the commodity.	This decreases the demand for the commodity (which common people start using).
Simple Example	Seeing others investing money in the stock market, investing oneself without thinking.	Seeing someone else wearing the same dress as yours at a party, never wearing that dress again.

5 What does a lower score on the Corruption Perception Index (e.g., closer to 0) indicate?

- a) Less corruption
- b) More corruption ✓
- c) Higher transparency
- d) Better governance

EXPLANATION

Corruption Perceptions Index (CPI 2025).

- CPI is released by 'Transparency International' (Score: 0=highly corrupt, 100=very clean).
- Denmark (89 score) is at the top, while Somalia and South Sudan (9 score) are at the bottom.
- India is at the 91st position with a score of 39/100 (improved from 96th position in 2024).
- In South Asia, Bhutan (71 score, rank 18) is at the top and Afghanistan (score-16) is at the bottom. China's rank is 76.



6 In which year did the National Stock Exchange began its operations?

- (a) 1994 ✓
- (b) 1998
- (c) 2002
- (d) 1996

- EXPLANATION** • **Bombay Stock Exchange (BSE) (1875)** is the oldest stock exchange in Asia.
 - Establishment - **Premchand Roychand**

Securities and Exchange Board of India (SEBI)

- **Establishment:** It was established on April 12, 1988, and was given the status of a statutory body through the SEBI Act, 1992.
- **Headquarters:** Mumbai.
- **Chairman:** Tuhin Kanta Pandey.
- **Functions:** It protects the interests of investors in the securities market.



Small Industries Development Bank of India (SIDBI)

- It was **established** on April 2, 1990.
- **Headquarters:** Lucknow.

National Housing Bank

- It was **established** in 1988 through the Act of 1987.

Insurance Regulatory and Development Authority of India (IRDAI)

- It was **established** as a statutory body in April 2000 through the IRDAI Act, 1999.

National Bank of Agriculture and Rural Development (NABARD)

- NABARD was **established** on 12 July 1982, on the recommendation of B. Sivaraman Committee (1979) through NABARD Act 1981.
- **Headquarter:** Mumbai
- **Functions of NABARD**



- It provides credit and financial assistance to promote agricultural development and rural development.
- It supervises and regulates the functioning of cooperative banks and Regional Rural Banks (RRBs) to ensure their financial stability.
 - **Financing to Regional Rural Banks (RRBs):** Center (50%), State (15%), Sponsor (35%).
- Unlike commercial banks, NABARD does not provide loans or banking services to individuals (i.e., it does not deal directly with the public).
- It provides various rural financing schemes through PMAY (Pradhan Mantri Awaas Yojana - Gramin), **KCC** (Kisan Credit Card), and **RuPay Kisan Card**.
- In 2015, NABARD launched the '**E-Shakti**' and '**LEDP**' (Livelihood and Enterprise Development Programme) initiatives.
- The SHG Bank Linkage Programme started in 1992.

7

What does the MGNREGA stand for?

- (a) Mahatma Gandhi National Rural Employment Generation Act
- (b) Mahatma Gandhi National Rural Employment Guarantee Act ✓
- (c) Mahatma Gandhi National Regulated Employment Generation Act
- (d) Mahatma Gandhi National Regulated Employment Guarantee Act

EXPLANATION

- **MGNREGA (2005):** Guarantee of 100 days of employment per year for unskilled labor. The Center provides the full fund for unskilled wages, states provide material and unemployment allowance. Compensation if payment is not made within 15 days.
- The name of **NREGA** was changed to MGNREGA in 2009.



4

- **New VB-G Ram G Bill, 2025:** It will replace MGNREGA. It has provisions for 125 days of work, weekly payment, and cost-sharing between the Center and the states. Work will be stopped during sowing and harvesting times so that farmers can get laborers.

8 The difference between the Gross National Product (GNP) and the Net National Product (NNP) is:

(a) Taxes

(b) Interest

(c) Depreciation ✓

(d) Dividend

EXPLANATION



Gross National Product (GNP)

- Total value of all final goods and services produced by the citizens of a country.
- **GNP** = GDP + Net Factor Income from Abroad (NFIA)
- **GNP** = GDP - Factor income paid abroad + Factor income received from abroad



Net Domestic Product (NDP)

- It is a measure of the economic output of a country after adjustment for depreciation (or consumption) of fixed capital.
- The monetary value of an asset decreases over time due to various factors and this is called depreciation. This is seen in capital goods.
- **NDP** = GDP - Depreciation



Net National Product (NNP)

- It is the monetary value of finished goods and services produced by the citizens of a country in a given period.
- **NNP** = GNP - Depreciation

- **FC** = MP - Indirect Taxes + Subsidies
- **FC** = MP - (Indirect Taxes - Subsidies)
- **FC** = MP - Net Indirect Taxes
- **Basic Price** = FC + Net Production Taxes
- **Net Production Taxes** = (Production Taxes - Subsidies)

- If you want to go from Gross to Net, subtract depreciation.
- If you want to go from Domestic to National, add net factor income from abroad.
- If you want to go from Market Price to Factor Cost, subtract net indirect taxes.

9 What role did Small-Scale Industries (SSIs) play in the 6th Five-Year Plan's trade strategy?

(a) They were discouraged in favor of large-scale units

(b) They were expected to focus only on local markets

(c) They were promoted as key exporters and employment generators ✓

(d) They were merged with public sector units

EXPLANATION

Sixth Five Year Plan

- **Duration:** 1980-1985
- **Then Prime Minister:** Indira Gandhi
- **Growth Rate:** Target: 5.2%, Achievement: 5.7% (Successful)

• **Main Focus:**

- Increase in national income.
- Technological modernization.
- Reduction in poverty and unemployment (schemes for skill transfer).

• **Major Programs:**

- **TRYSEM** (Training of Rural Youth for Self-Employment)
- **IRDP** (Integrated Rural Development Program)
- **NREP** (National Rural Employment Program)



- **Establishment of NABARD** (National Bank for Agriculture and Rural Development) in 1982.
- **Rural Landless Employment Guarantee Programme (RLEGP)** was launched on August 15, 1983.

10

The 7th Five-Year Plan is credited with laying the foundation for which of the following major economic reform eras in India?

- (a) Nationalization of banks
- (b) Green revolution
- (c) Economic liberalization and modernization in the 1990s ✓
- (d) National Rural Employment Guarantee Act

EXPLANATION

Seventh Five Year Plan

- **Duration:** 1985-1990
- **Then Prime Minister:** Rajiv Gandhi
- **Target:** 5%
- **Achievement:** 6% (Successful)
- **Main Focus (FWP):**
 - **Food (Agriculture & Food Security)**
 - Accelerating food grain production to ensure self-sufficiency.
 - Strengthening irrigation, fertilizer use, and agricultural research.
 - **Work (Employment Generation)**
 - Launch of Jawahar Rozgar Yojana (1989) by merging:
 - **NREP** (National Rural Employment Program)
 - **RLEGP** (Rural Landless Employment Guarantee Program)
 - **Aim:** Provide wage employment to rural poor and landless laborers.
 - **Productivity (Social Justice & Economic Growth)**
 - Focus on equity and social justice alongside growth.
 - Encouraging small-scale industries and rural enterprises.
 - Expanding education and health services to improve human capital.
- The **Department of Biotechnology** was established by the Government of India in the Seventh Five Year Plan.



Plan (Duration)	Respective Prime Minister
First, Second (1951-61)	Jawaharlal Nehru
Third (1961-66)	Nehru → Shastri → Gulzarilal Nanda
Plan Holiday & 4th (1966-74)	Indira Gandhi
5th (1974-79)	Indira Gandhi → Morarji Desai
6th, 7th (1980-90)	Indira Gandhi → Rajiv Gandhi
8th (1992-97)	P. V. Narasimha Rao
9th, 10th (1997-07)	Atal Bihari Vajpayee → Manmohan Singh (From 2004)
11th, 12th (2007-17)	Manmohan Singh → Narendra Modi (From 2014)

Annual Plans (1990-1992)

- No Five Year Plan due to political uncertainty.
- Balance of Payments (BoP) crisis (1991) which led to the introduction of:
 - L** (Liberalization)
 - P** (Privatization)
 - G** (Globalization) reforms.



Liberalisation



Privatisation



Globalisation

Foreign Exchange Reserves

- Foreign exchange reserves are the assets that a country's central bank (RBI in India) holds in reserve for international transactions and to maintain economic stability.
- Foreign Currency Assets (FCA)**
 - These are holdings in major foreign currencies (like US dollars, euros, yen, etc.).
 - Usually kept in the form of bonds, treasury bills, or deposits with other central banks.
 - The US dollar dominates because it's the world's primary reserve currency.
- Gold**
 - Central banks hold gold as a hedge against inflation and currency fluctuations.
 - Gold is considered a "safe haven" asset, especially during global uncertainty.
- Special Drawing Rights (SDR)** - SDR includes the Dollar, Yuan, Yen, Pound, and Euro.
- Reserve Tranche Position (RTP)**
 - This is a country's emergency credit line with the IMF.

11

Why must an Indian buyer convert rupees to dollars when purchasing from the U.S.?

- (a) Rupees are not accepted in U.S. markets ✓
- (b) To calculate shipping cost
- (c) To use foreign exchange for import payment
- (d) To pay international taxes



EXPLANATION

- **Convertibility** refers to the ability of a country's currency to be freely exchanged for another currency or for gold without restrictions. It indicates how easily a currency can be traded in the international market and is a key aspect of a nation's economic openness.

Types of Convertibility



- **Current Account Convertibility:**
 - Allows free exchange of currency for international trade in goods and services.
 - **Example:** Paying for imports or receiving payment for exports.
- **Capital Account Convertibility:**
 - Permits unrestricted movement of capital across borders.
 - **Example:** Foreign investments, buying property abroad, or investing in international stock markets.
 - India has no full capital account convertibility. The **1997 Tarapore Committee** recommended a phased move towards full Capital Account Convertibility. In **2006**, the **S.S. Tarapore** Committee reaffirmed this approach but emphasized gradual implementation with strong preconditions and safeguards due to risks like volatile capital flows and financial instability.
- **FERA 1973 (Foreign Exchange Regulation Act):**
 - Enacted to regulate foreign exchange and conserve India's forex reserves.
 - Very restrictive, focusing on controlling payments, dealings in foreign exchange, and foreign ownership.
- **FEMA 1999 (Foreign Exchange Management Act):**
 - Replaced FERA to liberalize and simplify foreign exchange laws.
 - Shifted focus from regulation to management, promoting foreign trade and payments, and facilitating globalization.

12

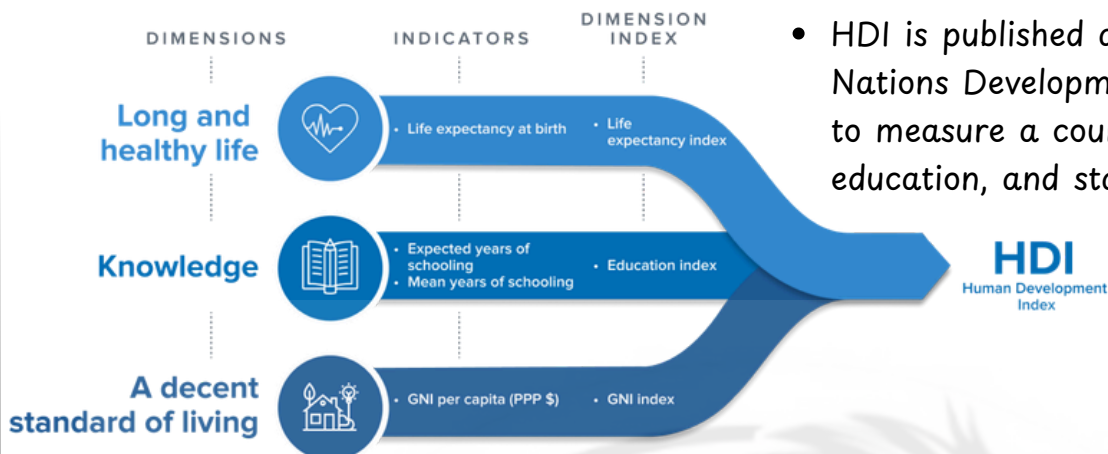
Which of the following statements are correct?

1. The Human Development Index (HDI) is based on life expectancy and standard of living only
2. Life expectancy at birth is taken into account to measure HDI
3. Multi Dimensional Poverty Index (MPI) measures health and education only
4. Child mortality and nutrition are taken into account to measure health in MPI

- (a) 1, 2 and 4 only
- (b) 3 and 4 only
- (c) 1 and 3 only
- (d) 2 and 4 only ✓

EXPLANATION

8

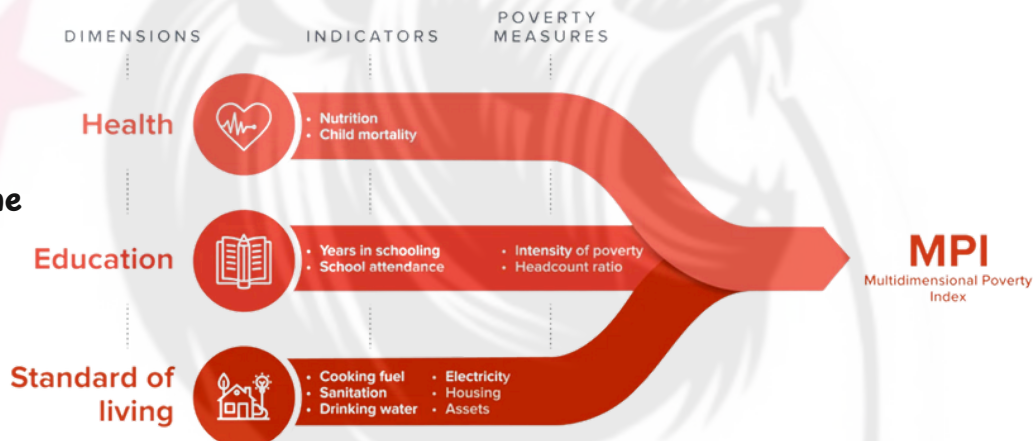


- HDI is published annually by the United Nations Development Programme (UNDP) to measure a country's progress in health, education, and standard of living.



- The Human Development Index (HDI) was conceptualized by **Mehub ul Haq** (Pakistan) with contributions from **Amartya Sen** (India), who later became **the first Indian to win the Nobel Prize in Economics in 1998**.

- The MPI concept was introduced in 2010 by **United Nations Development Programme (UNDP)** and **Oxford Poverty and Human Development Initiative (OPHI)**.



13 What does the Finance Bill presented in the Budget mainly contain?

- (a) Details of government borrowing plans
- (b) Proposals related to tax changes or rules ✓
- (c) Estimates of state-level expenditure only
- (d) Monetary policy statements of RBI

EXPLANATION

- Stages of budget presentation in India: -

- Preparation → Presentation → General Discussion → Committee Review → Voting on Demands → Appropriation Bill → Finance Bill

- finance bills are divided into two categories: -
 - Finance bill Category-A {article117(1)}
 - Finance bill Category-B {article117(3)}
- Finance bills contain any or all of the matter of money bill or any matter General legislation.

- All Money bills are Finance bill, but all Finance bills are not Money bill.



Difference between Money Bill & Financial Bill

Money Bill

1. Deals solely with matters listed in Article 110 (1) (a) to (g) of constitution.
 - Imposition/ Abolition/ Remission/ Alteration or Regulation of Central/ States taxes(not local taxes).
 - Borrowing by central Government.
 - Withdrawal/ receipt of money from consolidated/ Contingency fund/ Public Account.
2. Can be introduced only in Lok Sabha.
3. President/ Government's prior recommendation is required introducing in Lok Sabha/ LA.
4. It can be only Government bill.
5. Rajya Sabha has limited power only for 14 days.
6. President can withhold assent but cannot return it.
7. No provision of joint sitting in case of money bills.
8. A money bill cannot be returned to the House by the President.

Financial Bill

Financial Bill Category-A

1. Listed under Article 117(1) of the constitution.
2. A bill that contains some provisions related to Taxation of expenditure and additionally contains provisions related to any other matter is called Financial Bill.
3. Only it is introduced after recommendation of President in Lok Sabha.
4. Once passed in the Lok Sabha, becomes like an ordinary bill.
5. Rajya Sabha has all power to reject/ amend.
6. There can be joint sitting of Lok Sabha & Rajya Sabha.

Financial Bill Category-B

1. Categorised as Financial Bill under Article 117(3)
2. It is ordinary bill in all respects.
3. Both Lok Sabha & Rajya Sabha has equal powers.
4. Recommendation of President is needed.
5. It involves expenditure from CFI (Consolidated Fund of India).
6. It can be introduced in either house.

14

Which of the following is the formula for elasticity of supply?

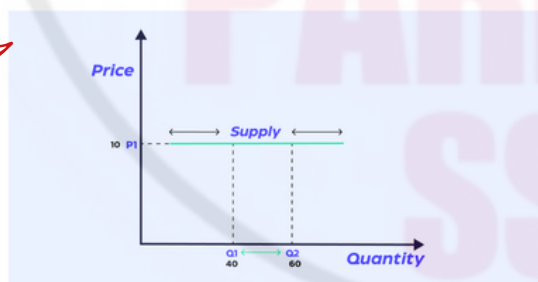
- (a) % change in price / % change in quantity supplied
- (b) % change in quantity supplied / % change in price ✓
- (c) Original price / change in price
- (d) Change in quantity supplied / original quantity supplied

PRICE ELASTICITY OF SUPPLY FORMULA

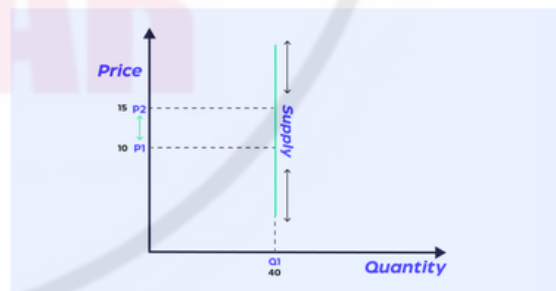
$$PES = \frac{\% \text{ Change in quantity supplied}}{\% \text{ Change in price}}$$

EXPLANATION

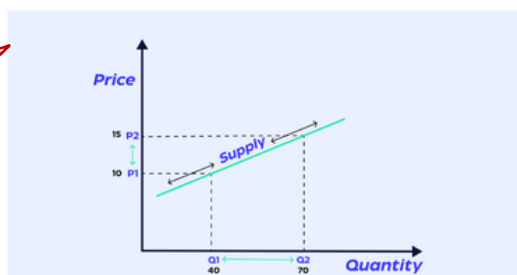
1. Perfectly Elastic Supply



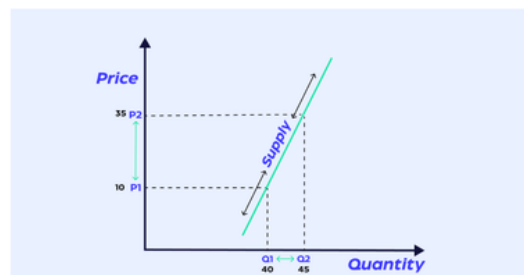
2. Perfectly Inelastic Supply



3. Relatively Elastic Supply



4. Relatively Inelastic Supply



15

Consider the following statements and choose the correct option:

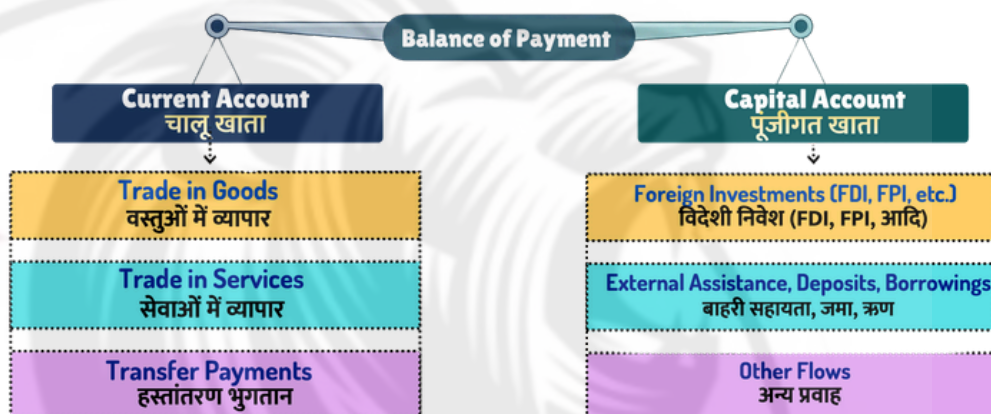
Statement 1: A surplus on the current account indicates that the country is lending to the rest of the world

Statement 2: A current account is said to be in balance when payments exceed receipts

- (a) Only Statement 1 is correct ✓
- (b) Only Statement 2 is correct
- (c) Both Statement 1 and Statement 2 are correct
- (d) Neither Statement 1 nor Statement 2 is correct

EXPLANATION

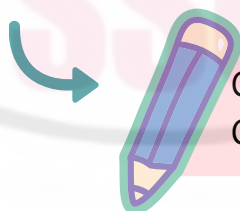
- **Remittances** are funds that people working abroad send back to their home country, usually to support their families or communities.
- **India is the world's No. 1** recipient of remittances, receiving a record **\$135.46**



billion in FY 2024-25, which equals about 3% of India's GDP. Mexico ranks second with \$68 billion.

FDI VS FPI

- **FPI (Foreign Portfolio Investment):** Short-term investment in stocks/bonds without control — called “hot money” because it can exit quickly.
- **FDI (Foreign Direct Investment):** Long-term investment in a country's business/assets to gain management control.
 - It enters India through two routes:
 - **Automatic Route** – No prior government approval needed.
 - **Government Approval Route** – Requires clearance from authorities before investment.
- The **Twin Deficit** refers to the simultaneous occurrence of a Fiscal Deficit and a Current Account Deficit in an economy.



Current Account Deficit (CAD)
Current Account Surplus (CAS)

The **Export-Import Bank of India (EXIM Bank)** was established on 1 January 1982.

- **Current Account:** This account monitors all incoming and outgoing goods and services between countries. It is divided into three components: Visible Items, Invisible Items, Transfer Payments.
- **Capital Account:** This account monitors capital transactions, such as the purchase and sale of non-financial assets like lands and properties.

11

16

Assertion(A): Financial intermediaries are essential in transmitting monetary policy to the real economy

Reason (R): They adjust lending and deposit rates in response to policy rates set by the MPC

- a) Both A and R are true, and R is the correct explanation of A. ✓
- b) Both A and R are true, but R is not the correct explanation of A.
- c) A is true, but R is false.
- d) A is false, but R is true

EXPLANATION



Monetary Policy Committee (MPC)

- **Origin:** Established based on the recommendations of the Urjit Patel Committee.
- **Composition:** Consists of a total of 6 members:
 - 3 from the RBI: The RBI Governor (who serves as Chairman), a Deputy Governor, and an Executive.
 - 3 from the Government of India.
- **Function:** The committee meets bimonthly to decide on monetary policy actions, such as changing the repo rate and CRR.
- **MPC** controls interest rates; **RBI(lender of last resort)** directly sets CRR and SLR.



Monetary Policy Tools

- These are tools used by the RBI to influence the overall money supply and credit within the economy. Key tools include:

- **Cash Reserve Ratio (CRR)**
- **Statutory Liquidity Ratio (SLR)**
- **Bank Rate (BR):** The interest rate at which the RBI provides long-term loans to commercial banks without requiring any collateral or securities.

- **Repo Rate** is the interest rate at which the Reserve Bank of India (RBI) lends short-term funds to commercial banks against government securities.
- **Reverse Repo Rate** is the interest rate at which the RBI borrows money from commercial banks by lending them government securities.

Understanding Positive vs Normative Economics

Positive Economics

- Descriptive, factual statements
- What is

Example

"An increase in taxes reduces consumption."

Normative Economics

- Prescriptive, value-based statements
- What ought to be

Example

"Taxes should be increased on the wealthy."

LAF (Liquidity Adjustment Facility) = Repo + Reverse Repo, suggested by Narasimham Committee (1998).

- **Marginal Standing Facility (MSF):** MSF is a way for banks to borrow money from the RBI in emergencies when they don't have enough funds. It allows banks to get "overnight loans" but at a higher interest rate than the repo rate.

- If the bank fails to maintain the required CRR and SLR, it must pay a penalty of 3% above the Bank Rate for each day of default.
- Under MSF, banks can use G-Secs within their SLR quota to borrow funds from RBI. Only scheduled commercial banks can access MSF.



12

○ **Open Market Operations (OMO):** It is also called as sterilization.

■ **OMO are of two types:**



1. **Outright Purchase:** RBI directly sells government securities without any kind of repurchase agreement.
2. **Repurchase Obligation (Repo):** When banks borrow money from RBI, using government securities as collateral and with a promise of repurchases them later, it is called as Repo. Similarly, when RBI invites bank to deposit their extra funds in RBI in exchange of government securities, it is called as Reverse Repo.

Economic Condition	Policy Stance	Monetary Policy (MP) - RBI	Fiscal Policy (FP) - GOI
Inflation	{Contractionary / Hawkish / Dear / Tight } Monetary policy	• Tools ↑ (RR ↑, RRR ↑) • Govt. Securities → Sell	• Tax ↑ • Subsidy ↓ • MSP ↓
Deflation	{Expansionary / Dovish / Easy} Monetary policy	• Tools ↓ (CRR ↓, SLR ↓, RR ↓, RRR ↓, MSF ↓) • Govt. Securities → Buy	Tax ↓, Subsidy ↑, MSP ↑

17 **Statement 1: Imports by Indian consumers act as a leakage from the circular flow of income hence reducing aggregate demand**

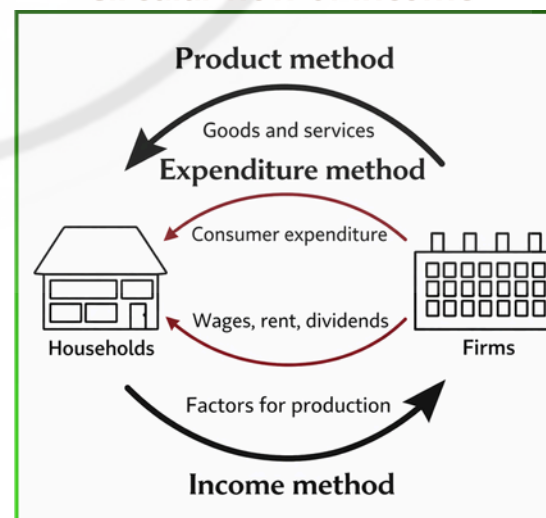
Statement 2: Exports from India to foreign markets act as an injection into the circular flow, increasing aggregate demand

- Only Statement 1 is correct
- Only Statement 2 is correct
- Both Statement 1 and Statement 2 are correct ✓
- Neither Statement 1 nor Statement 2 is correct

EXPLANATION

Factor of Production	Meaning / Role	Factor Payment
Land	Natural resources used in production	Rent
Labour	Human effort (physical & mental)	Wages
Capital	Tools, machinery, money invested	Interest
Entrepreneurship	Organizing and risk-taking ability	Profit

Circular flow of income



- **Leakages** (money flowing out of the economy)
 - Savings (S), Imports (M), Taxes (T)
- **Injections** (money flowing into the economy)
 - Investment (I), Government Expenditure (G), Exports (X)

18 If the real gross domestic product (GDP) increases, what does it imply?

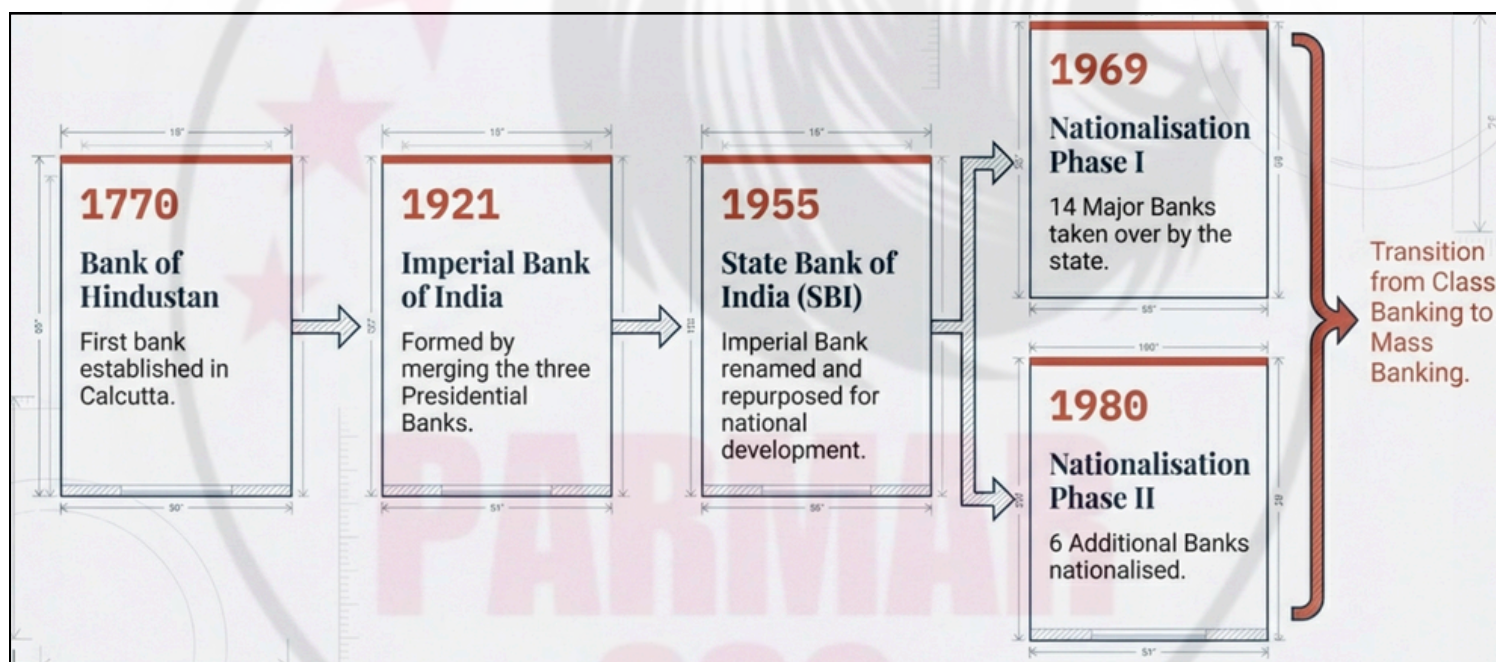
- (a) Volume of production increases ✓
- (b) Volume of production decreases
- (c) Currency has depreciated
- (d) Trade deficit has widened

19 How many banks in India were nationalised in the year 1969?

- (A) 28
- (B) 14 ✓
- (C) 9
- (D) 35

EXPLANATION

After the 1991 economic reforms, **HDFC** emerged as the **first major private bank** in India.



20 Which of the following is NOT an example of transfer payments given by the government to the households?

- (a) Pensions
- (b) Interest of National debt ✓
- (c) Scholarship
- (d) Prize

EXPLANATION

$PI = NI - \text{Income earned but not received} + \text{Income received but not earned}$



- National Income is a **macroeconomic concept** first introduced in India by **Dadabhai Naoroji** in his famous work "Poverty and Un-British Rule in India" (1901).

3 Methods of National Income

1. Gross Value Added Method / Product Method:

Formula: $NI = \sum GVA_i$

2. Income Method:

Components:

- i. Operating Surplus
- ii. Compensation to employees
- iii. Mixed Income



3. Expenditure Method:

Formula: $NI = C + I + G + (X - M)$

Variable Breakdown:

- C = Consumption Expenditure
- I = Investment
- G = Government Expenditure
- X = Exports
- M = Imports
- (X - M) = Net Exports (NX)



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